EXECUTIVE SUMMARY

1. Introduction

a. Agency Profile

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire by virtue of Executive Order No. 2390 dated February 28, 1932. Sometime in December of 1971 during the incumbency of then Mayor Leandro Pagurayan, a resolution was passed changing the name Faire to Sto. Niño.

The objectives of the Municipality of Sto. Niño are to implement development projects and programs to increase tax revenues thru better collection procedures and measures. In line with these objectives, the Local Chief Executive and the Sangguniang Bayan Members thru the Presiding Officer committed themselves to the delivery of the basic services to their constituents that are geared towards the development of the municipality as a self-reliant community.

For CY 2016, the Municipality of Sto. Niño had a total of 284 personnel complement with 96 permanent, 11 elective, 16 contractual and 161 job order status.

b. Scope of Audit

The audit covered the accounts and operations of the Municipality of Sto. Niño, Cagayan for CY2016 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSAS); whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year-ended December 31, 2016 with comparative figures for CY 2015 are as follows:

	2016	2015	Increase (Decrease)
Financial Position			
Total Assets	₱217,015,302.89	P186,330,058.14	₱30,685,244.75
Total Liabilities	45,821,118.45	46,516,300.95	(695,182.50)
Total Government Equity	171,194,184.44	139,813,757.19	31,380,427.25

Financial Performance			
Total Income(Includes Subsidy from Other Funds)	126,296,832.97	114,543,714.52	11,753,118.45
Total Expenses (Includes Total Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	99,279,618.03	79,999,551.64	19,280,066.39
Appropriations, Allotments and Obligations			
Total Appropriations – Current	126,507,435.97	99,844,238.00	26,663,197.97
Total Obligations - Current	119,746,079.14	86,652,091.29	33,093,987.85
Total Appropriations - Continuing	28,450,791.04	10,911,516.80	17,539,274.24
Total Obligations - Continuing	16,498,597.65	528,589.22	15,970,008.43

The Municipality received fund transfers from other agencies totaling ₱12,425,100.00 and transferred ₱3,100,000.00 to other agencies during CY 2016 with comparative figures for CY 2015, as follows:

	2016	2015	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱ 12,425,100.00	₱ 19,085,845.00	₱(6,660,745.00)
Local Government Units	-	-	-
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	-	-
Total	**₱ 12,425,100.00**	**₱ 19,085,845.00**	**₱(6,660,745.00)**
Funds Transferred to:			
NGAs	₱ -	₱ -	₱ -
Local Government Units	3,100,000.00	-	3,100,000.00
NGOs/POs	-	-	-
Total	**₱ 3,100,000.00**	**₱ -**	**₱ 3,100,000.00**

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Sto. Nino, Cagayan for the year-ended December 31, 2016 due to the following:

a. Unreconciled difference of ₱15,321,459.66 in the Property, Plant and Equipment (PPE) account per balances recorded in the General Ledger against the balances per actual physical verification and valuation.

b. Unaccounted difference of ₱11,060,960.12 in the consolidated balances of "Due from Other Funds" and "Due to Other Funds" under the Intra-agency Receivable and Payable account.

c. Unreconciled difference of ₱741,240.64 in the Cash in Bank account per balances in the General Ledger against balances per bank statements as a result of the continued non-preparation of monthly Bank Reconciliation Statements (BRS) to ascertain the reliability and accuracy of the Cash – Local Currency- Savings Account with a total balance of ₱46,099,744.06.

4. Summary of Significant Observations and Recommendations

a. The documentary and procedural requirements of the procurement law were not strictly followed by management hence incomplete bidding documents were submitted for various projects totaling ₱30,742,757.61.

We recommended that management submit the identified lacking documents to support the public bidding conducted and strictly observe the documentary and procedural requirements of the procurement law.

b. The acquisition of various goods and services totaling ₱2,334,431.00 were done through alternative modes of procurement instead of competitive bidding because management did strictly comply with the provisions of Republic Act 9184 also known as the Government Procurement Reform Act.

We recommended that management properly plan ahead its procurement activities and strictly monitor the modes of procurement being employed to avoid violations of the procurement law.

c. Projects funded out of the 20% Development Fund current and continuing appropriations of ₱3,106,000.00 and ₱10,422,000.00, respectively remained unimplemented as of December 31, 2016 because Management lacked effective strategies to address problems in the implementation.

We recommended that management vigorously pursue the completion of the projects to be implemented the soonest time possible in order to achieve the objectives of the said projects in providing socio-economic benefits to the intended beneficiaries.

d. Management's assertions of occurrence, accuracy, validity and completeness of various transactions could not be ascertained because supporting

documents for disbursements aggregating ₱19,248,412.85 were not submitted.

Management should submit all the lacking documentary requirements for the identified transactions.

5. Summary of Total Suspensions, Disallowances and Charges

The following shows the summary of suspensions, disallowances and charges as of December 31, 2016:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	₱4,036,777.58	-	₱4,036,777.58	-
Current Year	-	-	-	-	-
Total	-	*₱4,036,777.58*	-	*₱4,036,777.58*	-
Disallowances					
Prior Years	₱236,500.00	-	₱203,500.00	33,000.00	86.05%
Current Year	-	-	-	-	
Total	*₱ 236,500.00*	-	*₱203,500.00*	*₱33,000.00*	86.05%
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 14 audit recommendations embodied in the 2015 Annual Audit Report, one (1) was fully implemented, seven (7) were partially implemented and six (6) were not implemented.